programs in unstable macroeconomic conditions. The Clinton Treasury Department, under Robert Rubin and then Lawrence Summers, considered Russia too big to fail and frequently seized control of the Russia portfolio from IMF staff. As Randall Stone shows, “the autonomy of the IMF staff varies in inverse proportion to the international significance of the case at hand.”[126] The IMF failed to enforce the conditions attached to its programs for Russia and violations of its stabilization programs because the Russian government could use its influence in Washington to gain exceptions and watered-down commitments in return for new loans. In the early 1990s, Washington intensely lobbied G7 countries to create an initial $28 billion loan package, and Clinton called on the IMF to forgo harsh conditionality and adopt a softer bargaining position.[127]

In 1997, the IMF also made the mistake of pressing Russia into liberalizing its bond market. Relaxing capital controls was problematic because the government had financed much of its budget deficit after 1995 by borrowing in capital markets and issuing short-term zero-coupon bonds and Treasury bills, known by the Russian acronym GKOs.[128] When contagion from the Asian financial crisis spread to Russia and slumping oil prices made hard currency revenues scarcer, the Russian authorities were unable to devalue the ruble. By spring 1998, panic ensued in the GKO market, whose yields were reaching astronomical levels and in some cases had maturities of only seven days.

President Boris Yeltsin made urgent telephone calls to key G7 leaders and demanded IMF assistance. Over a six-week period from mid-June through July, the cost of the IMF portion of the bailout doubled from $5.6 billion to $11.2 billion. The crisis came to a head on August 17, 1998, when the Russian government abandoned its defense of a strong ruble exchange rate against the dollar, forced a restructuring of government domestic debt, and placed a 90-day moratorium on commercial external debt payments, essentially placing the Russian government in default. American leadership had undermined the IMF’s standard conditionality practices, which in Russia’s case proved self-defeating. For most of this period, Russia’s leaders were convinced that they could evade both IMF discipline and punishment by the bond markets, but this was like denying the forces of gravity. These were misjudgments that Yeltsin’s successors have avoided. By the end of the 1990s, the Clinton administration and its successors also